

Hermes

Beyond the Print: Debate on algo remains unresolved

Q2 cFx sales grew +6.7% cFX (vs. +6.5% cons.), with LG +10.2% cFX (vs. +10.7% cons.). H1 EBIT margin of 41% was a beat, driving a c.1% upgrade to our EPS estimates. Beyond the print, <8% cFx cannot fully dispel investor concerns around the sustainability of Group and LG growth algorithm. Remain EW.

Results key take: In line. Hermes reported Q2-26 revenue of €4.1bn and cFX growth of 6.7%, which was overall in line with cons. of 6.5%. Leather Goods drove growth at 10.2% cFX, below cons. at 10.7%.

Results details: By region: Growth in 2Q26 was driven by the Americas at 13.7% and Japan at 12.3%, confirming trends seen across peers. APAC excl. Japan remained the weaker spot, up 2.5% and below consensus of 3.2%. Europe and France were solid, with France up 6.2% cFX, beating consensus of 3.8%, and Europe excl. France up 8.3% cFX. **By metier:** Leather Goods drove growth once again, up 10.2% cFX, but below cons. of 10.7% and the 11-12% algorithm. The RTW & Accessories division grew 3.6% cFX, in line with cons. at 3.5%, continuing to be a drag on the group's performance. The Silk & Textiles division grew 12.2% cFX, a strong beat vs cons. of 7.5% in a category that is typically more exposed to the aspirational consumer. The Perfumes & Beauty division reported a negative -9.5% cFX growth, well below cons. of -1.5%.

Revisions: FY26 cFx growth of 7%, EPS up c1%: We lower our top-line estimates for 3Q26 from 8.6% to 7.6%, as we take a more cautious view on APAC given continued weakness. We only slightly lower our Leather Goods 3Q26 growth by 50bps to 11.0%, and cut RTW growth by the same amount. We take larger cuts in Perfumes and Cosmetics. This brings us to a FY26 growth forecast of 7.0% cFX at group level, from 7.3% previously. We increase our FY26 EBIT margin estimate to 40.8% following the beat in H1. Our estimate changes imply a c.1% EPS increase in FY26-28 (Figure 11). We keep our PT unchanged at EUR 1,700 with unchanged DCF assumptions at 7.5% WACC and 3.5% long-term growth.

Beyond results, key debate remains unresolved despite lower valuations. Hermès remains one of the most debated luxury stocks (see our [feedback note](#) from 100+ meetings with investors). 2Q results have not provided confidence in the sustainability of the growth model. Importantly, capacity expansion plans remain consistent with 6–7% volume growth (Figure 8), supporting our view that supply should not be a constraint through 2030 and raising concerns

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HRMS.PA/RMS FP	EQUAL WEIGHT
	Unchanged
European Luxury Goods & Specialty Retail	NEUTRAL
	Unchanged
Price Target	EUR 1700.00
	Unchanged
Price (29-Jul-26)	EUR 1508.50
Potential Upside/Downside	+12.7%
Source: Bloomberg, Barclays Research	

Market Cap (EUR mn)	159251
Shares Outstanding (mn)	105.57
Free Float (%)	32.22
52 Wk Avg Daily Volume (mn)	0.1
Dividend Yield (%)	1.19
Return on Equity TTM (%)	25.35
Current BVPS (EUR)	181.62
Source: Bloomberg	

Price Performance	Exchange-PA
52 Week range	EUR 2417.00-1465.50



Source: LSEG Data & Analytics, Bloomberg
[Link to Barclays Live for interactive charting](#)

European Luxury Goods & Specialty Retail

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around operating deleverage if volumes slow. We believe 6% volume is sustainable, but 3Q26 is unlikely to provide evidence. Remain EW.

While we believe the **valuation is becoming more compelling**, we think the stock needs clear evidence that group growth can sustainably re-accelerate into the HSD range, whether via Leather Goods or stronger non-Leather métiers momentum. We do not expect 3Q26 to be that catalyst (cFX growth 7.6%).

HRMS.PA: Financial and Valuation Metrics EPS (EUR)

FY Dec	2024	2025	2026	2027	2028
EPS	43.87A	43.07A	45.35E	52.99E	57.46E
Previous EPS	43.87A	43.07A	44.91E	52.54E	56.96E
Consensus EPS	43.87A	43.07A	44.38E	51.07E	56.16E
P/E	34.4	35.0	33.3	28.5	26.3

Consensus numbers are from Bloomberg received on 29-Jul-2026; 12:50 GMT

Source: Barclays Research

European Luxury Goods & Specialty Retail

NEUTRAL

Hermes (HRMS.PA)

EQUAL WEIGHT

Income statement (€mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	16,003	16,828	18,222	19,677	7.1%
EBITDA (adj)	6,963	7,325	8,073	8,787	8.1%
EBIT (adj)	6,570	6,873	7,488	8,118	7.3%
Pre-tax income (adj)	6,776	7,116	7,766	8,363	7.3%
Net income (adj)	4,524	4,764	5,567	6,036	10.1%
EPS (adj) (€)	43.07	45.35	52.99	57.46	10.1%
Diluted shares (mn)	105	105	105	105	0.0%
DPS (€)	18.00	20.00	22.00	24.00	10.1%
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	43.5	43.5	44.3	44.7	44.0
EBIT (adj) margin (%)	41.1	40.8	41.1	41.3	41.1
Pre-tax (adj) margin (%)	42.3	42.3	42.6	42.5	42.4
Net (adj) margin (%)	28.3	28.3	30.6	30.7	29.5
ROA (%)	18.0	16.6	17.1	16.5	17.0
ROE (%)	24.0	22.1	22.2	21.0	22.3
ROCE (%)	73.9	67.1	69.7	69.8	70.1
Cash flow and balance sheet (€mn)	2025A	2026E	2027E	2028E	CAGR
Cash flow from operations	5,374	5,863	6,394	6,966	9.0%
Cash flow from investing	-1,278	-1,422	-1,239	-1,141	N/A
Capital expenditure	-1,161	-1,297	-1,239	-1,141	N/A
Free cash flow	3,448	3,973	4,500	5,157	14.4%
Tangible fixed assets	3,486	4,196	4,744	5,109	13.6%
Intangible fixed assets	411	454	492	526	8.6%
Total assets	24,323	27,665	31,398	35,410	13.3%
Working capital	2,201	2,366	2,634	2,922	9.9%
Capital employed	5,918	6,830	7,685	8,373	12.3%
Net debt/(funds)	-12,205	-14,367	-17,024	-20,110	N/A
Provisions	160	151	151	151	-1.9%
Other long-term liabilities	72	68	68	68	-1.7%
Shareholders' equity	18,840	21,586	25,056	28,785	15.2%
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	35.0	33.3	28.5	26.3	30.8
EV/sales (x)	9.4	8.8	8.1	7.5	8.5
EV/EBITDA (adj) (x)	21.5	20.2	18.4	16.9	19.3
EV/EBIT (adj) (x)	22.8	21.6	19.8	18.3	20.6
Dividend yield (%)	1.2	1.3	1.5	1.6	1.4
FCF yield (%)	2.3	2.7	3.0	3.5	2.9
Net debt/EBITDA (adj) (x)	-1.3	-1.5	-1.7	-1.9	-1.6
Interest cover (x)	163.4	115.4	111.8	113.6	126.1
P/BV (x)	8.4	7.3	6.3	5.5	6.9
Selected operating metrics	2025A	2026E	2027E	2028E	Average
Constant-currency growth (%)	8.9	7.0	7.6	7.9	7.9

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (29-Jul-2026) **EUR 1,508.50**
Price Target **EUR 1,700.00**

Why EQUAL WEIGHT?

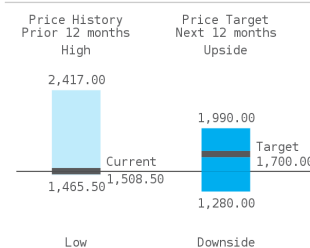
Thanks to its high level of exclusivity, superior growth and resilient margins, Hermes is one of the highest-quality stocks that we have under coverage. However, a slow start to 2026 and disruption from MENA may raise investor concerns around growth levels going forward.

Upside case **EUR 1,990.00**

Hermes maintains strong double-digit sales growth and EBIT margin reaches the mid 40s range.

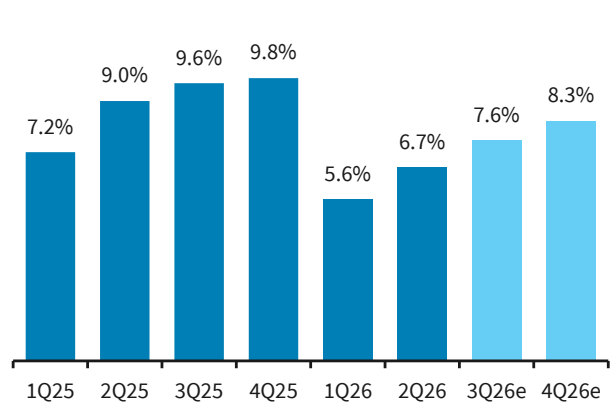
Downside case **EUR 1,280.00**

Assume single-digit top-line growth as other segments grow at mid-single digits, diluting the higher structural growth of the Leather Goods division. EBIT margin remains in the 36-37% range. Terminal growth set at 2.5%.

Upside/Downside scenarios

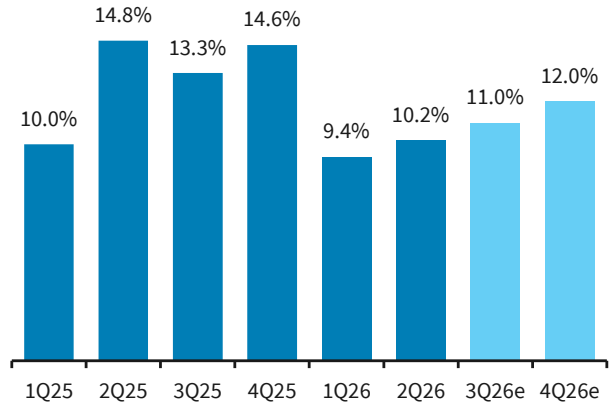
Key Charts

FIGURE 1. We expect the group to grow 7.6% in Q3...



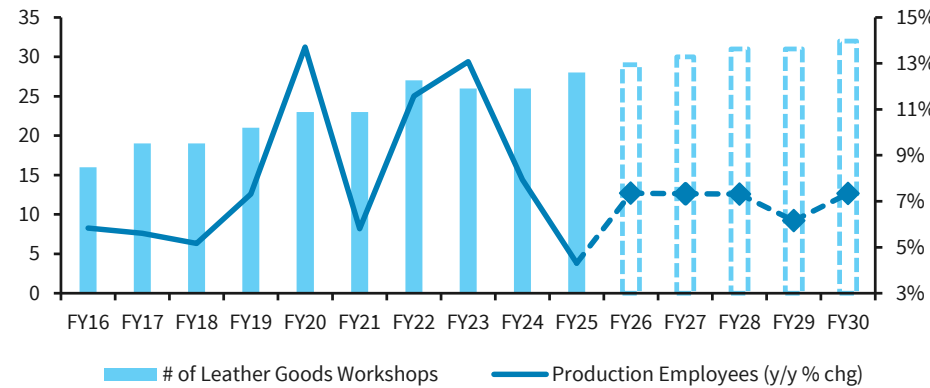
Source: Company Data, Barclays Research estimates

FIGURE 2. ...driven by Leather Goods at 11.0%



Source: Company Data, Barclays Research estimates

FIGURE 3. The pipeline of workshop openings is consistent with 6-7% volume growth, in our view



Source: Company Data, Barclays Research estimates

FIGURE 4. We raise EPS estimates by 1%

	2026e			2027e			2028e		
(€m)	Old	New	% change	Old	New	% change	Old	New	% change
Revenue	16,831	16,828	0.0%	18,221	18,222	0.0%	19,674	19,677	0.0%
% cFX growth	7.3%	7.0%	-25bp	7.6%	7.6%	0bp	7.9%	7.9%	2bp
Gross profit	11,921	11,981	0.5%	12,906	12,973	0.5%	13,935	14,009	0.5%
Gross Margin %	70.8%	71.2%	37bp	70.8%	71.2%	37bp	70.8%	71.2%	37bp
Recurring EBIT	6,767	6,873	1.6%	7,421	7,488	0.9%	8,045	8,118	0.9%
EBIT margin %	40.2%	40.8%	63bp	40.7%	41.1%	37bp	40.9%	41.3%	37bp
EBIT	6,767	6,873	1.6%	7,421	7,488	0.9%	8,045	8,118	0.9%
EBIT margin %	40.2%	40.8%	63bp	40.7%	41.1%	37bp	40.9%	41.3%	37bp
Net Financial Result	295	244	-17.3%	278	278	0.3%	245	245	0.1%
PBT	7,062	7,116	0.8%	7,699	7,766	0.9%	8,290	8,363	0.9%
Tax Rate %	33.4%	33.3%	-4bp	28.5%	28.5%	0bp	28.0%	28.0%	0bp
Net Profit	4,756	4,793	0.8%	5,559	5,608	0.9%	6,028	6,080	0.9%
Minority Interests	-38	-28	n.m.	-41	-41	n.m.	-44	-44	n.m.
Net Profit to Shareholders	4,718	4,764	1.0%	5,518	5,567	0.9%	5,983	6,036	0.9%
Recurring Net Profit to Shareholders	4,718	4,764	1.0%	5,518	5,567	0.9%	5,983	6,036	0.9%
Recurring Diluted EPS	44.9	45.4	1.0%	52.5	53.0	0.9%	57.0	57.5	0.9%

Source: Company Data, Barclays Research estimates

Results summary

Q2-26 results: Hermes reported Q2-26 revenue of €4.1bn and cFX growth of 6.7%, which was overall in line with cons. of 6.5%. Leather Goods drove growth at 10.2% cFX, below cons. at 10.7%. Strong beats came from Silk & Textiles and Watches.

By region: Growth in 2Q26 was driven by the Americas at 13.7% and Japan at 12.3%, confirming trends seen across peers. APAC excl. Japan remained the weaker spot, up 2.5% and below consensus of 3.2%. Europe and France were solid, with France up 6.2% cFX, beating consensus of 3.8%, and Europe excl. France up 8.3% cFX.

By metier: Leather Goods drove growth once again, up 10.2% cFX, but below cons. of 10.7% and the 11-12% algorithm. The RTW & Accessories division grew 3.6% cFX, in line with cons. at 3.5%, continuing to be a drag on the group's performance. The Silk & Textiles division grew 12.2% cFX, a strong beat vs cons. of 7.5% in a category that is typically more exposed to the aspirational consumer. The Perfumes & Beauty division reported a negative -9.5% cFX growth, well below cons. of -1.5%.

FIGURE 5. Hermes 2Q26 Sales by Region

Hermes 2Q26	Reported			Estimates			
Revenue (€m)	2Q26	2Q25	% y/y chg	BARC	vs BARC	Cons.	vs Cons.
France	407	383	6.3%	398	2.2%	397	2.5%
cFX growth %	6.2%	4.1%	210bp	4.0%	220bp	3.8%	243bp
Europe excl. France	627	588	6.6%	639	-1.9%	633	-1.0%
cFX growth %	8.3%	12.6%	-430bp	9.0%	-70bp	8.8%	-52bp
Japan	394	394	0.0%	388	1.6%	387	1.8%
cFX growth %	12.3%	14.7%	-240bp	10.0%	230bp	10.7%	158bp
APAC excl. Japan	1,651	1,603	3.0%	1,633	1.1%	1,628	1.4%
cFX growth %	2.5%	5.2%	-270bp	3.5%	-100bp	3.2%	-70bp
Americas	846	760	11.3%	828	2.1%	842	0.4%
cFX growth %	13.7%	12.3%	140bp	13.0%	70bp	13.9%	-18bp
Others	170	177	-4.0%	159	7.0%	161	5.5%
cFX growth %	-2.4%	20.4%	-2,280bp	-7.5%	510bp	-7.6%	520bp
Group	4,094	3,905	4.8%	4,045	1.2%	4,069	0.6%
cFX growth %	6.7%	9.0%	-231bp	6.4%	32bp	6.5%	19bp

Source: Company Data, Barclays Research estimates, Bloomberg

FIGURE 6. Hermes 2Q26 Sales by Metier

Hermes 2Q26	Reported			Estimates			
Revenue (€m)	2Q26	2Q25	% y/y chg	BARC	vs BARC	Cons.	vs Cons.
Leather Goods & Saddlery	1,912	1,765	8.3%	1,904	0.4%	1,907	0.2%
cFX growth %	10.2%	14.8%	-460bp	10.5%	-30bp	10.7%	-54bp
RTW & Accessories	1,123	1,106	1.6%	1,110	1.2%	1,112	1.0%
cFX growth %	3.6%	3.8%	-20bp	3.0%	60bp	3.5%	7bp
Silk & Textiles	212	192	10.6%	202	4.9%	200	5.9%
cFX growth %	12.2%	2.2%	1,000bp	8.0%	420bp	7.5%	470bp
Other Hermes Sectors	525	512	2.5%	519	1.1%	520	1.0%
cFX growth %	4.0%	14.9%	-1,090bp	4.0%	0bp	3.2%	79bp
Perfumes & Beauty	107	119	-9.9%	110	-2.4%	113	-5.6%
cFX growth %	-9.5%	-7.2%	-230bp	-5.0%	-450bp	-1.5%	-803bp
Watches	134	130	3.5%	126	6.3%	126	6.1%
cFX growth %	4.4%	-5.5%	990bp	0.0%	440bp	0.2%	423bp
Other Products	82	82	0.5%	74	10.2%	77	6.0%
cFX growth %	1.9%	-0.4%	230bp	1.1%	82bp	2.5%	-64bp
Group	4,094	3,905	4.8%	4,045	1.2%	4,069	0.6%
cFX growth %	6.7%	9.0%	-231bp	6.4%	32bp	6.5%	19bp

Source: Company Data, Barclays Research estimates, Bloomberg

FIGURE 7. Hermes 1H26 P&L

Hermes 1H26	Reported			Estimates			
(€m)	1H26	1H25	% y/y chg	BARC	vs BARC	Cons.	vs Cons.
Revenue	8,163	8,034	1.6%	8,115	0.6%	8,121	0.5%
Gross Profit	5,807	5,678	2.3%	5,711	1.7%	5,684	2.2%
% Margin	71.1%	70.7%	46bp	70.4%	76bp	70.1%	108bp
Recurring EBIT	3,351	3,327	0.7%	3,276	2.3%	3,275	2.3%
% Margin	41.1%	41.4%	-36bp	40.4%	68bp	40.3%	73bp
Recurring PBT	3,441	3,475	-1.0%	3,416	0.7%	3,397	1.3%
Recurring Net Income	2,238	2,246	-0.4%	2,212	1.2%	2,204	1.5%
Recurring EPS, Diluted	21.32	21.39	-0.3%	21.06	1.3%	21.08	1.2%

Source: Company Data, Barclays Research, Bloomberg

Beyond the print: the growth algorithm debate is still on

“There is no way Hermes will be trading anywhere close to its current multiple in 12 months. It will either be much higher or much lower”

— Investor, early June 2026

Key debate still on and the valuations are down. Hermès is one of the most debated names in our coverage universe. Unfortunately, 2Q results did not provide the confidence needed for the bull case and bullet-proof sustainability of the business model, leaving room for the bear debate to continue.

Bull and Bear views: Bulls view current valuation levels as an extremely attractive entry point and see the recent slowdown as temporary. Bears, by contrast, argue that the desirability of iconic bags has weakened, competition for the high-end consumer has intensified, and softer trends in ex-leather métiers signal lower barriers to quota bag purchases pointing to an extended slowdown and potential change in leather goods growth algorithm, which implies 6% volume growth.

What does the company say: The company continues to highlight challenges in APAC and no major sequential change/acceleration in all regions except for MENA and France, both impacted by tourism and MENA consumer. While Leather Goods growth remains strong at +DD (10.2% in 2Q26), this is below the FY growth algorithm of 11-12% growth with c.6% volume contribution, but we believe 6% volume expectation is still in place (despite somewhat less clear communication at the conference call).

What does the company do? Expand capacity for 6-7% volume growth: Our analysis suggests supply is there, at least until 2030, with the number of production employees, the closest proxy, growing at c.7% 5Y CAGR in 25-30E (our estimates), 1% below the previous decade.

FIGURE 8. Pipeline of LG workshop openings through 2030 consistent with >6% volume growth in our view

Source: Company Data, Barclays Research estimates

We employ production employees as a proxy to understand volume constraints and the investments needed to sustain c.6% volume growth going forward. We estimate that Hermes' capacity expansion should allow 6-7% volume growth in the next 5 years, in line with our Leather Goods forecasts. As a result, we expect the metier to expand to c.49% of Hermes' sales by 2030 from c.44% in 2025.

...In this context, change in algorithm could be painful: We believe that the Leather Goods demand model remains intact and we assume that there are no material risks to our mid-to-long-term volume assumptions. Any major changes in demand in leather goods could raise concerns around over-investment and over-capacity, and could put significant pressure on margins and returns.

What is the (soft) data saying: Outside of anecdotal evidence, we have not been able to find data to indicate 1) lower demand for iconic bags, 2) materially increased supply of iconic bags in resale (we have some comments on increase in availability of "other" bags, though), 3) deterioration of price premium for iconic bags in resale (on the opposite) and 4) lower required spend needed to qualify for quota bag purchase at Hermes store. Our interviews with industry participants, including a brick and mortar Hermes reseller, suggest increase, not decrease, of resale premium, given recent price increases.

What we think: For FY26, we are more comfortable with 10.5% FY growth in metier, with 11/12% in 3/4Q26 rather than FY. We believe Leather Goods could comfortably deliver HSD-LDD (we are at 10.5%) CAGR in 26-29. Our EW rating is focused on 1) 2026 market challenges, which underpin our below-consensus estimates of c.8% cFX growth over FY27-29e; 2) medium-term risks in Asia Pacific (52% of sales incl. Japan), where we forecast c.7% CAGR; 3) confidence in longer-term scalability of the artisanal model.

Valuation is becoming more compelling, but we think the stock needs clear evidence that group growth can sustainably re-accelerate into the HSD range, whether via Leather Goods or stronger non-Leather métiers momentum. We do not expect 3Q26 to be that catalyst (cFX growth 7.6%).

Model Update

We lower our top-line growth estimates for 3Q26 from 8.3% to 7.6%, as we take a more cautious view on APAC given continued weakness. We only slightly lower our Leather Goods 3Q26 growth by 50bps to 11.0%, and cut RTW growth by the same amount. We take larger cuts in Perfumes and Cosmetics. This brings us to a FY26 growth forecast of 7.0% cFX at group level, from 7.3% previously.

As far as the gross margin is concerned, we leave our 2H26 GM forecast unchanged at 71.3%, down 30bp y/y. Overall, we increase our FY26 EBIT margin estimate to 40.8% following the beat in H1. Our estimate changes imply a c.1% EPS increase in FY26-28. We keep our PT unchanged at EUR 1,700 with unchanged DCF assumptions at 7.5% WACC and 3.5% long-term growth. We remain EW.

FIGURE 9. Hermes Old vs New - Quarterly Sales by Division

Hermes 2026e	Actuals		New (2026e)			Old (2026e)		
Revenue (€m)	Q1	Q2	Q3e	Q4e	FYe	Q3e	Q4e	FYe
Leather Goods & Saddlery	1,849	1,912	1,895	2,023	7,679	1,903	2,031	7,688
Organic Growth %	9.4%	10.2%	11.0%	12.0%	10.7%	11.5%	12.5%	11.0%
RTW & Accessories	1,076	1,123	1,215	1,189	4,603	1,220	1,201	4,606
Organic Growth %	0.4%	3.6%	4.5%	6.0%	3.6%	5.0%	7.0%	3.8%
Silk & Textiles	257	212	223	317	1,008	223	317	998
Organic Growth %	7.8%	12.2%	6.0%	2.0%	6.4%	6.0%	2.0%	5.6%
Other Hermes Sectors	540	525	520	557	2,142	525	562	2,146
Organic Growth %	6.8%	4.0%	7.0%	7.0%	6.2%	8.0%	8.0%	6.7%
Perfumes & Beauty	127	107	120	129	483	127	132	495
Organic Growth %	0.2%	-9.5%	1.0%	5.0%	-0.8%	7.0%	7.0%	2.3%
Watches	135	134	136	142	547	132	141	534
Organic Growth %	-3.7%	4.4%	3.0%	2.0%	1.3%	0.0%	1.0%	-0.8%
Other Products	86	82	90	108	366	92	111	363
Organic Growth %	3.6%	1.9%	6.9%	6.7%	5.2%	9.1%	8.8%	5.7%
Group	4,070	4,094	4,198	4,465	16,828	4,222	4,493	16,831
Organic Growth %	5.6%	6.7%	7.6%	8.3%	7.0%	8.3%	9.0%	7.3%

Source: Barclays Research estimates, Company Data

FIGURE 10. Hermes Old vs New - Quarterly Sales by Geography

Hermes 2026e	Actuals		New (2026e)			Old (2026e)		
Revenue (€m)	Q1	Q2	Q3e	Q4e	FYe	Q3e	Q4e	FYe
France	347	407	419	454	1,627	431	467	1,643
Organic Growth %	-2.8%	6.2%	4.0%	5.0%	3.3%	7.0%	8.0%	4.3%
Europe excl. France	538	627	690	701	2,556	697	701	2,574
Organic Growth %	9.7%	8.3%	9.0%	9.0%	9.0%	10.0%	9.0%	9.4%
Japan	404	394	401	414	1,614	397	406	1,596
Organic Growth %	9.6%	12.3%	10.0%	10.0%	10.5%	9.0%	8.0%	9.2%
APAC excl. Japan	1,881	1,651	1,672	1,638	6,842	1,696	1,661	6,871
Organic Growth %	2.2%	2.5%	3.5%	4.5%	3.1%	5.0%	6.0%	4.0%
Americas	739	846	836	1,049	3,470	822	1,049	3,438
Organic Growth %	17.2%	13.7%	15.0%	14.0%	14.9%	13.0%	14.0%	14.2%
Others	160	170	179	211	719	179	211	708
Organic Growth %	-5.9%	-2.4%	14.0%	14.0%	4.6%	14.0%	14.0%	3.3%
Group	4,070	4,094	4,198	4,465	16,828	4,222	4,493	16,831
Organic Growth %	5.6%	6.7%	7.6%	8.3%	7.0%	8.3%	9.0%	7.3%

Source: Barclays Research estimates, Company Data

FIGURE 11. Hermes Old vs New - P&L

	2026e			2027e			2028e		
(€m)	Old	New	% change	Old	New	% change	Old	New	% change
Revenue	16,831	16,828	0.0%	18,221	18,222	0.0%	19,674	19,677	0.0%
% cFX growth	7.3%	7.0%	-25bp	7.6%	7.6%	0bp	7.9%	7.9%	2bp
Gross profit	11,921	11,981	0.5%	12,906	12,973	0.5%	13,935	14,009	0.5%
Gross Margin %	70.8%	71.2%	37bp	70.8%	71.2%	37bp	70.8%	71.2%	37bp
Recurring EBIT	6,767	6,873	1.6%	7,421	7,488	0.9%	8,045	8,118	0.9%
EBIT margin %	40.2%	40.8%	63bp	40.7%	41.1%	37bp	40.9%	41.3%	37bp
EBIT	6,767	6,873	1.6%	7,421	7,488	0.9%	8,045	8,118	0.9%
EBIT margin %	40.2%	40.8%	63bp	40.7%	41.1%	37bp	40.9%	41.3%	37bp
Net Financial Result	295	244	-17.3%	278	278	0.3%	245	245	0.1%
PBT	7,062	7,116	0.8%	7,699	7,766	0.9%	8,290	8,363	0.9%
Tax Rate %	33.4%	33.3%	-4bp	28.5%	28.5%	0bp	28.0%	28.0%	0bp
Net Profit	4,756	4,793	0.8%	5,559	5,608	0.9%	6,028	6,080	0.9%
Minority Interests	-38	-28	n.m.	-41	-41	n.m.	-44	-44	n.m.
Net Profit to Shareholders	4,718	4,764	1.0%	5,518	5,567	0.9%	5,983	6,036	0.9%
Recurring Net Profit to Shareholders	4,718	4,764	1.0%	5,518	5,567	0.9%	5,983	6,036	0.9%
Recurring Diluted EPS	44.9	45.4	1.0%	52.5	53.0	0.9%	57.0	57.5	0.9%

Source: Barclays Research estimates, Company Data

Financials

FIGURE 12. Hermes - P&L Summary

Income Statement	1H25	2H25	FY25	1H26	2H26e	FY26e	FY27e	FY28e	FY29e
Revenue	8,034	7,969	16,003	8,164	8,663	16,828	18,222	19,677	21,261
COGS	(2,356)	(2,267)	(4,623)	(2,356)	(2,490)	(4,847)	(5,249)	(5,668)	(6,124)
Gross Profit	5,678	5,702	11,380	5,808	6,173	11,981	12,973	14,009	15,137
% Gross Margin	70.7%	71.6%	71.1%	71.1%	71.3%	71.2%	71.2%	71.2%	71.2%
Operating Expenses	(2,351)	(2,459)	(4,810)	(2,457)	(2,651)	(5,108)	(5,485)	(5,891)	(6,293)
Recurring EBIT	3,327	3,243	6,570	3,351	3,522	6,873	7,488	8,118	8,843
% Recurring EBIT Margin	41.4%	40.7%	41.1%	41.0%	40.7%	40.8%	41.1%	41.3%	41.6%
Other Non-Recurring Operating Income/(Expenses)	0	0	0	0	0	0	0	0	0
EBIT	3,327	3,243	6,570	3,351	3,522	6,873	7,488	8,118	8,843
% EBIT Margin	41.4%	40.7%	41.1%	41.0%	40.7%	40.8%	41.1%	41.3%	41.6%
(+) D&A	218	230	448	237	279	516	653	741	801
Recurring EBITDA	3,718	3,651	7,369	3,774	3,986	7,760	8,543	9,291	10,106
% EBITDA Margin	46.3%	45.8%	46.0%	46.2%	46.0%	46.1%	46.9%	47.2%	47.5%
(+) Lease D&A	390	409	799	423	465	888	1,055	1,173	1,263
Recurring EBITDA (IFRS 16)	3,519	3,444	6,963	3,559	3,766	7,325	8,073	8,787	9,567
% EBITDA Margin	43.8%	43.2%	43.5%	43.6%	43.5%	43.5%	44.3%	44.7%	45.0%
Net Financial Income/(Expenses)	148	59	207	90	154	244	278	245	252
Recurring PBT	3,475	3,301	6,776	3,441	3,675	7,116	7,766	8,363	9,095
% PBT Margin	43.3%	41.4%	42.3%	42.1%	42.4%	42.3%	42.6%	42.5%	42.8%
PBT	3,475	3,301	6,776	3,441	3,675	7,116	7,766	8,363	9,095
% PBT Margin	43.3%	41.4%	42.3%	42.1%	42.4%	42.3%	42.6%	42.5%	42.8%
Income Taxes	(1,230)	(1,033)	(2,263)	(1,217)	(1,156)	(2,373)	(2,213)	(2,342)	(2,456)
Net Income from Associates	26	21	47	23	26	49	55	59	64
Recurring Net Income to All	2,271	2,289	4,560	2,247	2,546	4,793	5,608	6,080	6,703
% Net Margin	28.3%	28.7%	28.5%	27.5%	29.4%	28.5%	30.8%	30.9%	31.5%
Net Income to All	2,271	2,289	4,560	2,247	2,546	4,793	5,608	6,080	6,703
% Net Margin	28.3%	28.7%	28.5%	27.5%	29.4%	28.5%	30.8%	30.9%	31.5%
Minority Interests	(25)	(11)	(36)	(9)	(19)	(28)	(41)	(44)	(48)
Recurring Net Income to Equityholders	2,246	2,278	4,524	2,238	2,526	4,764	5,567	6,036	6,655
% Net Margin	28.0%	28.6%	28.3%	27.4%	29.2%	28.3%	30.6%	30.7%	31.3%
Net Income to Equityholders	2,246	2,278	4,524	2,238	2,526	4,764	5,567	6,036	6,655
% Net Margin	28.0%	28.6%	28.3%	27.4%	29.2%	28.3%	30.6%	30.7%	31.3%

Source: Barclays Research estimates, Company Data

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Hermes (HRMS.PA, 29-Jul-2026, EUR 1508.50), Equal Weight/Neutral, FA/J/K/N

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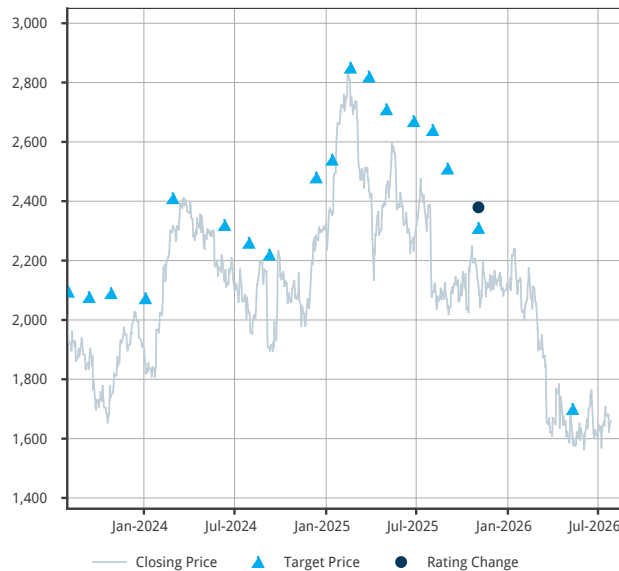
Hermes (RMS FP / HRMS.PA)

Stock Rating: **EQUAL WEIGHT**

Industry View: **NEUTRAL**

Closing Price: **EUR 1508.50** (29-Jul-2026)

Rating and Price Target Chart (as of 29-Jul-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
11-May-2026	1661.00	Equal Weight	1700.00	EUR
03-Nov-2025	2149.00		2310.00	EUR
02-Sep-2025	2091.00		2510.00	EUR
03-Aug-2025	2078.00		2640.00	EUR
26-Jun-2025	2266.00		2670.00	EUR
02-May-2025	2391.00		2710.00	EUR
28-Mar-2025	2474.00		2820.00	EUR
19-Feb-2025	2723.00		2850.00	EUR
13-Jan-2025	2367.00		2540.00	EUR
12-Dec-2024	2284.00		2480.00	EUR
09-Sep-2024	1909.50		2220.00	EUR
30-Jul-2024	2026.00		2260.00	EUR
11-Jun-2024	2130.00		2320.00	EUR
28-Feb-2024	2297.00		2410.00	EUR
04-Jan-2024	1861.20		2073.00	EUR
27-Oct-2023	1738.80		2090.00	EUR
13-Sep-2023	1836.20		2077.00	EUR
02-Aug-2023	1977.40		2095.00	EUR

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